

STATE OF NEW YORK

3973--A

2025-2026 Regular Sessions

IN ASSEMBLY

January 30, 2025

Introduced by M. of A. McDONALD, JACOBSON, MANKTELOW, K. BROWN -- read once and referred to the Committee on Insurance -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the insurance law, in relation to prescription drug formulary coverage for interchangeable biologics and biosimilars

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

Section 1. Paragraph 4 of subsection (c-1) of section 4903 of the insurance law, as added by chapter 512 of the laws of 2016, is amended to read as follows:

(4) The insured is stable on a prescription drug or drugs selected by their health care professional for the medical condition under consideration, provided that this shall not prevent a utilization review agent from ~~[requiring an insured to try an AB-rated generic equivalent prior to providing coverage for the equivalent brand name prescription drug or drugs; or]~~:

(i) requiring an insured to try an AB-rated generic equivalent or an interchangeable biological product prior to providing coverage for the equivalent brand name prescription drug or drugs, or

(ii) requiring an insured to try a biosimilar prior to providing coverage for the brand name prescription reference product drug or drugs.

§ 2. Subparagraph (A) of paragraph 3 of subsection (c) of section 3242 of the insurance law, as added by chapter 99 of the laws of 2022, is amended to read as follows:

(A) An insurer with a formulary that includes two or more tiers of benefits providing for different deductibles, copayments or coinsurance applicable to prescription drugs in each tier may move a prescription drug to a tier with a larger deductible, copayment or coinsurance if an AB-rated generic equivalent ~~[or]~~, an interchangeable biological product.

EXPLANATION--Matter in italics (underscored) is new; matter in brackets ~~[-]~~ is old law to be omitted.

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1 or biosimilar for such prescription drug is added to the formulary at
2 the same time.

3 § 3. Subparagraph (A) of paragraph 3 of subsection (c) of section
4 4329 of the insurance law, as added by chapter 99 of the laws of 2022,
5 is amended to read as follows:

6 (A) A corporation with a formulary that includes two or more tiers of
7 benefits providing for different deductibles, copayments or coinsurance
8 applicable to prescription drugs in each tier may move a prescription
9 drug to a tier with a larger deductible, copayment or coinsurance if an
10 AB-rated generic equivalent ~~[or]~~, an interchangeable biological product,
11 or biosimilar for such prescription drug is added to the formulary at
12 the same time.

13 § 4. Subsection (c) of section 3242 of the insurance law, as added
14 by chapter 99 of the laws of 2022, is relettered subsection (d).

15 § 5. Subsection (c) of section 4329 of the insurance law, as added by
16 chapter 99 of the laws of 2022, is relettered subsection (d).

17 § 6. This act shall take effect immediately.